

Reports on China ramping up AI investment...

EQUITY: TECHNOLOGY

...Likely a short-term catalyst for domestic AI value chain

Quick Note

What happened?

Bloomberg News reported ([link](#)) today that **China plans to invest USD295bn (~RMB2tn) over the next five years to build data centers** across the country. If other infrastructure investments such as electricity network were to be considered, the total investment could reach RMB5tn ([news](#)). According to the Bloomberg News report, key government agencies, including the National Development and Reform Commission (NDRC), are drafting a blueprint to erect a network of inter-connected computing hubs across the country; **state firms such as China Mobile (941 HK, Buy) and China Telecom (728 HK, Neutral) will operate the bulk of the data centers and ensure that these data centers are connected**. Moreover, the news also mentioned that the government's strategy involves relying on local suppliers including Huawei Technologies (unlisted) for key technologies, such as AI chips.

We note that the 'RMB2tn' plan **was not the first to appear in discussions**, as there was a news report on Jan 2025 ([link](#)) mentioning the government's potential investment plans around data infrastructure over a period of five years, and the framework of building a national wide computing network was also discussed.

Nomura's view

Although the 'RMB2tn investment plan' is not a brand-new idea to us, we think this might still be a short-term catalyst for China's AI supply chain, as the China government's long-term ambition to build a competitive and self-sufficient AI value chain remains firm. If infrastructure investment from the government and the private sector ramps up in the next few years, we think the key beneficiaries would be: **1) AI computing / server sector, including players such as Unisplendour (000938 CH, Buy), 2) AI networking sector (including optical transceiver / components / network switches / fibers), such as YOFC (6869 HK, Buy); 3) IDC / Cloud sector, such as China Mobile, China Telecom, GDS (GDS US, Buy) and VNET (VNET US, Buy).**

However, we think, the key risks to China AI supply chain stocks include the lack of advanced AI chip capacity, and increased competitive pressure from the enterprise and consumer application markets, which might impede monetization strategies.

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